

KISII SCHOOL 2025 PREDICTION



(KCSE PRE-ANALYSIS TEST)

565/1

BUSINESS STUDIES

PAPER 1

TIME: 2 HOURS



NAME.....

SCHOOL..... **SIGN**.....

INDEX NO..... **ADM NO**.....

(Kenya Certificate of Secondary Education)

INSTRUCTIONS

- a) Write your name and admission number in the spaces provided above.*
- b) Sign and write the date of examination in the spaces provided above.*
- c) Answer all the questions.*
- d) All answers should be written in the spaces provided in this booklet.*
- e) Candidates should answer all the questions in English.*

For Examiner's Use Only

Question	1	2	3	4	5	6	7	8	9	10	11	12	13
Marks													

Question	14	15	16	17	18	19	20	21	22	23	24	25
marks												

Total marks

1. Name four skills that a student acquires by learning business studies. (4marks)

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2. Highlight four possible contents of a business plan. (4marks)

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3. Outline four benefits of the improved road network in Kenya. (4marks)

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4. Nacada began a business on 1st Jan 2023. With capital of sh 650,00 which he deposited in the business bank account. During the year the following transaction took place

i) Brought into the business equipment valued at sh. 50,000

ii) Made a profit of sh. 120,000

iii) Withdrew sh, 80,000 from the business bank account to pay for his son's university fee. Determine Nacada final capital

5. State four incentive that a government may give investors to locate their firms in rural area

(4marks)

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6. The gap in incomes between the rich and the poor is so wide in Kenya. Highlight four factors that have contributed to this.

(4marks)

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7. Outline four features of a sole proprietorship form of business unit. **(4marks)**

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8. Give four advantages of using M-pesa as a means of payment. **(4marks)**

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9. Outline four circumstances under which downwards communication may be used. **(4marks)**

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10. Mention the principle of insurance involved in the following statement. (4marks)

a) One cannot insure the neighbor's house

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b) Compensation is paid out by an insurance company only if the loss is as a direct result of happening of the event insured against

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c) After having been compensated the insured is not allowed to take the scrap

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d) The aim of the insurance company is to put back the insured to his original material financial position and not to profit him

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11. For each of the following daybooks, State the relevant source document

a) Sales journal.....

b) Cash receipt journal.....

c) Purchases return journal.....

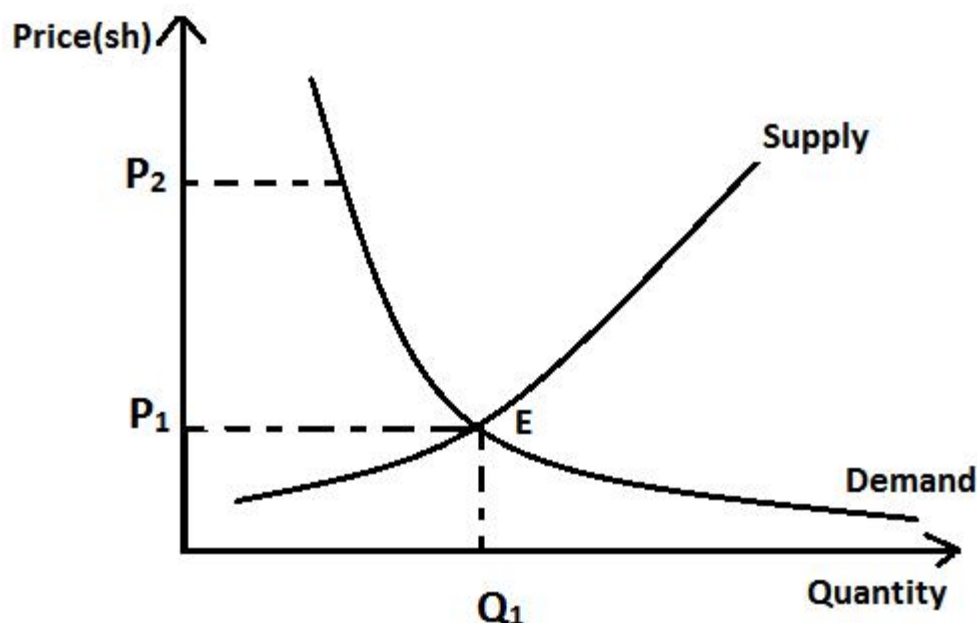
d) Sales return journal.....

12. On 1.5.2015 Kui traders bought 240 carton of battery at ksh.1000 each . Terms of sale were 20%trader discount and cash discount if payment was made on 29.4.2015

Calculate the amount paid if payment was done on 26.4.2015

(4 marks)

13. Hadjia has an intention of starting a business in the local market. The demand and supply is represented in the diagram below



State four consequences of selling the cabbages at p_2

(4marks)

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14. Outline four circumstances under which a trade would advertise his products over the radio instead of television

(4marks)

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14. Outline four ways in which the physical environment may lead business failure **(4marks)**

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16. Give four types of errors that are not disclosed in a trial balance. **(4marks)**

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17. Highlight four reasons for dishonoring a properly drawn cheque **(4marks)**

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18. In each of the following cases, state the type of inflation described. **(4marks)**

a) The unrest in Ukraine has resulted to an increase in the price of
fertilizers.....

- b) The price of bread has gone up to sh.60 due increase in the price of fertilizers.....
- c) A lot of money in circulation has led to the general increase of price.....
- d) Arise in price due to uneven growth in some sectors of the economy

19. The following information relates to average price of exports and imports in 2021 and 2022 of country k

Year	Average price of export	Average price of imports
2021	100,000	
		400,000
2022	120,000	
		650,000

Required:

- a) Calculate the terms of trade
(3marks)

- b) Comment on the term of trade calculated **above**
(1mark)

20.

Rufus trader

Dr

Three column cash book

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Date	Details		Cash	Bank	D .All	DATE	Details	f	Cash	Bank	D.REC
22/1/01	Capital		20,000			22/1/01	Capital				
22/1/08	Cash			10,000		2/1/08	Bank		10,000	1000	
22/1/12	Drawings		2000								

From the above cashbook state the transactions that took place on

a) 22.1.01

(2marks)

b) 22/1/08

(1mark)

c) 22/1/12

(1mark)

21. Outline four problems that the Kenyan government may experience in implementing her vision 2030

(4marks)

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22. State four types of business activities in central Kenya (4marks)

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23. Outline the significance of the following international terms of sale. (4marks)

- i) Ex-works**
- ii) Free on rail**
- iii) Free on board**
- iv) Cost and freight**

24.State four types of direct taxes (4marks)

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25. The following transactions took place in the business of Kua traders during the first week of March 2025.

March 2 issued an invoice no. 840 to Karen sh.80,000

March 3: Received an invoice no 940 from Mugeru Traders sh 50,000 (4marks)

Record the above information in the relevant ledger accounts.